

Purchase Assessment Report 3

Question 1: What is the specific valuation method used for the project approach in the assessment?

Answer: The Asset-Based method (inclusive of tangible and intangible assets).

Key Point: The model applies '3-Point Sensitivities' (reality-checks) to build a more robust and better-considered understanding of the purchase opportunity.

Question 2: What does the "primary sensitivity" in the assessment calculations refer to?

Answer: The serviceability of a loan to support the purchase.

Key Point: This represents the 'Bankable Price' or the highest probable finance threshold the business could afford.

Question 3: How does the open market differ from the notional market regarding Fair Market Value?

Answer: Open market prices are influenced by a lack of knowledge, speculation, investor sentiment, and arbitrary formulas, which are assumed not to exist in a notional market.

Key Point: These open market factors lead to sudden fluctuations, limiting the weight that can be attached to comparative open market benchmarks.

Question 4: What is the definition of a tangible asset?

Answer: Physical Assets - Generally used by the business to support business activities.

Key Point: These are often shown on the balance sheet as Non-current Assets and are not expected to be realized in the current trading year.

Question 5: What is the general guide for a 'Good' goodwill payback period?

Answer: Less than 3 years.

Key Point: The lower the payback period the better, because this minimizes your risk factor.

Question 6: What does EBPITDA stand for?

Answer: Earnings Before Proprietor's Income, Interest, Tax, Depreciation & Amortised Expenses.

Key Point: This method is generally used if the business requires a 'hands-on' business owner as a critical labour unit.

Question 7: What are the four levels of return a business should have?

Answer: 1. Labour Rate/Time Worked, 2. Returns on Funds Invested, 3. Profit or Risk (Premium) Return, 4. Asset Replacement/Reserves.

Key Point: These formulas dictate what the Minimum Acceptable Cash Surplus should be before determining super profits.

Question 8: What do the Margin For Error calculations highlight?

Answer: The potential fragility of the business's ability to service the purchase price during periods of economic decline.

Key Point: This is an assessment of Risk (for the buyer) rather than an assessment of 'Value'.

Question 9: What is 'Confirmation Bias' in the context of a business purchase?

Answer: The emotional interference in the decision-making process.

Key Point: It is extremely difficult to separate emotional interference; using strategic frameworks like Porter's 5 Forces or S.W.O.T helps objectively assess true risks.

Question 10: Why is it strongly recommended to ensure hand over terms and support are included in a sale and purchase agreement?

Answer: To ensure clear expectations regarding training, supplier, and customer introductions between the incoming and outgoing owners.

Key Point: Recording this in writing aids in your risk assessment of supplier continuity.

Business Clock vs Body Clock

Question 11: How is efficiency defined in layman's terms?

Answer: "Getting more done, with less effort."

Key Point: If you focus on productivity too much, you run the risk of getting 'trapped in the hamster's wheel'.

Question 12: How is effectiveness defined in layman's terms?

Answer: "The greater the outcome, with the same or less effort."

Key Point: It doesn't matter how efficient we become at completing a task if it isn't effective in helping us achieve our goals.

Question 13: What is Newton's Third Law in relation to 'Circles of Causality'?

Answer: "For every action there is an equal and opposite reaction."

Key Point: Identifying the likely consequences of a plan allows you to see negative forces and ensure Key Performance Indicators are balanced and complete.

Question 14: What is chronobiology?

Answer: The study of biological rhythms and their impact on us and our environment.

Key Point: All living things respond to cycles of the sun and the moon, influencing times of day best suited for creativity or physical exertion.

Question 15: What is a Circadian rhythm?

Answer: An approximately 24-hour cycle relating to basic sleep/wake patterns.

Key Point: Understanding this cycle helps improve creativity or focus so you can implement changes in your business.

Question 16: What is a Circaseptan rhythm?

Answer: A 3-week and 7-day cycle relating to immune and healing patterns.

Key Point: Understanding this allows you to plan your year to 'heal' or be fresh for new education or techniques.

Question 17: What neurotransmitter does visualising possible negatives and hardships help produce?

Answer: Testosterone.

Key Point: Testosterone aids mental acuity, proving that accurate rehearsal of hardships frames your thinking for peak performance.

Question 18: What is the main argument made by Bronson & Merryman regarding mental focus?

Answer: What matters most is not Positive thinking vs. Negative thinking, but Additive thinking vs. Subtractive thinking.

Key Point: How you frame past attempts and speak to yourself dictates your mental state.

Question 19: What is a subtractive counterfactual?

Answer: When you 'wish something didn't happen' that contributed to an outcome you are unhappy with.

Key Point: This relies on hindsight and negative association without establishing a clear path forward.

Question 20: What is an additive counterfactual?

Answer: When you review a past event and imagine something MORE you could have done to achieve a different outcome.

Key Point: This is framed as "Next time I'll do xyz to get a better outcome," which helps reframe negative constraints.

Sale Assessment Report 3

Question 21: What is the primary approach of the Business Sale Assessment Report?

Answer: To help place the seller in the 'negotiation seat of your purchaser'.

Key Point: By reviewing the business from the purchaser's viewpoint, you build a clearer understanding of how to demonstrate value and provide supporting evidence.

Question 22: What does the primary sensitivity (Best Funding Calcs) highlight for a seller?

Answer: The highest 'probable' finance threshold (inclusive of a risk assessment interest rate cover) that the business could afford.

Key Point: To support a sale, the price must be 'bankable' so interested purchasers can gain favorable finance.

Question 23: What are intangible assets/goodwill used to explain?

Answer: The probability of future (Capitalised) earnings.

Key Point: Goodwill is the main intangible asset, alongside brand equity, intellectual properties, licensing, and customer lists.

Question 24: What does EBITDA stand for?

Answer: Earnings Before Interest, Tax, Depreciation & Amortised Expenses.

Key Point: This multiple method is generally preferred by investors who have no intention of working in the business themselves.

Question 25: How is the most basic description of calculating a business value shown?

Answer: Predicted (Future) Net (taxable) Profit x Multiple + Net Tangible Assets + Stock/Materials.

Key Point: The trick is determining a 'Multiple' that reflects the risk factor or likelihood (Confidence factor) of the business performing in the future.

Question 26: Why are cost adjustments (Add Backs) utilized in financial performance analysis?

Answer: They remove items peculiar to the vendor's operating position (like one-off legal fees or owner wages).

Key Point: These are removed to show potential purchasers what can be achieved in terms of 'free cash flow'.

Question 27: What is considered a "Normal" payback period for super profits?

Answer: Between 3 and 5 years.

Key Point: Purchasers calculate this to see how long it takes to generate enough 'super profits' to pay back the goodwill component.

Question 28: What is the primary risk factor regarding 'Goodwill Transferability'?

Answer: That a percentage of customers and staff may leave as a result of lost connection to the original owner.

Key Point: Transferability directly relates to the issue of 'Future Earnings Probability' and requires strategic communication to purchasers.

Question 29: What is a recommended legal strategy to protect existing staff during a sale?

Answer: Include a clause requiring the outgoing business owner to petition for the retention of existing staff as part of the sales agreement.

Key Point: Retaining valuable staff helps maintain existing customer and supplier relations as part of the goodwill component.

Question 30: What common mistake do advisors make with EBPIDT Multiple figures?

Answer: Misinterpreting the EBPIDT Multiple figure from data collection sources as being the Goodwill (Earnings) Multiple.

Key Point: This results in hyperinflated values because tangible assets and stock/materials end up being charged twice.

Cafe Turnaround Behaviours

Question 31: What is the relationship between values and observable behavior?

Answer: Physiology drives attitude - not the other way around.

Key Point: If values are in conflict (e.g., Honesty vs Empathy), actions and physical observable behaviors shape the internal culture.

Question 32: Why is "Pay as you go vs Pay at the end" a vital structural consideration?

Answer: Because it directly affects upsell opportunities.

Key Point: Physical layouts and transaction processes dictate the tension or confusion experienced by the customer.

Question 33: What is the benefit of staff wearing name tags?

Answer: It invites the customer to use the server's name and feel more personal.

Key Point: Minor structural considerations drastically change the engagement scenario.

Question 34: What is the suggested lead question for a customer at the sales counter when there are fewer than 5 customers?

Answer: "What can I excite you with today?" or "What can I tempt you with today?"

Key Point: This script slows the engagement down by sounding unfamiliar, increasing the likelihood of dialogue and permission for up-selling.

Question 35: What is the suggested upsell script if a customer is "fully engaged" (joking, laughing)?

Answer: "Are you going to reward yourself with a cake/savoury to go with that?"

Key Point: You must read the customer's response and scale your upsell approach to match their engagement level.

Question 36: How should a server acknowledge the customer 'next in line' when there are 5+ customers?

Answer: Make eye contact, smile with teeth showing, and say "I'll be with you shortly."

Key Point: This acknowledges the wait time and diffuses tension at a busy transaction point.

Question 37: What is a suggested lead question when checking on a customer at their table?

Answer: "Just checking in - was everything ok with your meal?"

Key Point: You must ask genuine questions with sincere intent to improve in the future; it's that simple.

Question 38: In the H.E.A.T framework for complaining customers, what does the 'H' mean?

Answer: Hear what they have to say.

Key Point: Do not interrupt them or cut them short; let them vent before asking if there's anything else.

Question 39: What does the 'E' in the H.E.A.T acronym stand for?

Answer: Empathise with them.

Key Point: Try to walk in their shoes and acknowledge they have every right to feel disappointed or angry.

Question 40: What does the 'A' in the H.E.A.T acronym stand for?

Answer: Apologise.

Key Point: Even if only for the way they feel, apologize and thank them for bringing the issue to your attention.

SMART & FAST Goals

Question 41: What is the overarching objective of a goal setting session?

Answer: To 'Discover What We've Been Missing!'

Key Point: Every participant must contribute to collaborative thinking and explore ideas with an open heart and open mind.

Question 42: What does the 'S' in SMART goals stand for?

Answer: Specific.

Key Point: Setting a goal is like aiming a rifle; the greater your clarity and specificity, the greater your likelihood of success.

Question 43: Why must goals be 'Measurable'?

Answer: To guide your actions and ensure you measure your progress frequently.

Key Point: Failing to create measurable goals puts people into 'avoidance' because they don't want to feel negative emotions if they fail.

Question 44: What are the two requirements for the 'Affect' component?

Answer: 1. You must be able to directly influence your own success. 2. Your goals must have a strong emotional affect on you.

Key Point: If your goals rely significantly on others, you have no control over them.

Question 45: What does 'Relative' mean in the context of SMART goals?

Answer: Understanding the relative importance of each goal and how one goal relates to the others.

Key Point: Goals are more powerful when supported by other goals; failure to achieve one goal may mean lacking the resources or confidence for another.

Question 46: What happens if a goal is not 'Timebound'?

Answer: It is not a goal, it's a daydream.

Key Point: Timeframes provide the clarity and motivation necessary to push through challenges.

Question 47: Before setting concrete goals, what should you allow yourself an hour to do?

Answer: Just to dream and feel good about your own life for a change.

Key Point: Brainstorming desires across different life categories without placing limits provides a necessary 'kick-start'.

Question 48: What is an example of an 'Immediate' timeframe goal?

Answer: Read a book to improve self esteem or do 25 press-ups each morning.

Key Point: Assigning a realistic timeframe creates an actionable sequence.

Question 49: Why should you place your goals somewhere visible?

Answer: To enjoy 'ticking them off' when achieved (no matter how small they may seem).

Key Point: Success breeds success, maintaining motivation.

Question 50: How should families be involved in SMART goals?

Answer: Involve the whole family to motivate each other.

Key Point: Goal setting should not be isolated; sharing goals creates mutual accountability.

Hiring Winners

Question 51: According to Linda Hill's research, what is "Creative Abrasion"?

Answer: The power that comes from healthy debate where everyone is encouraged to contribute, regardless of title or experience.

Key Point: Winning teams 'play-hard-work-hard' by clashing ideas against each other but playing the ball and not the player.

Question 52: What is "Creative Agility"?

Answer: Encouraging a 'healthy curiosity' to experiment and assess.

Key Point: Teams are encouraged to 'let go' so that new ideas present themselves, rather than planning every detail before acting.

Question 53: What is "Creative Resolution"?

Answer: Refusing to 'go-along-to-get-along' if it means compromising on quality or innovation.

Key Point: Ideas are combined for a better outcome, and inclusive decision making is a cornerstone of work habits.

Question 54: What is the central lesson of the "Canoe Metaphor"?

Answer: A single disruptive crew member can upset the rhythm of an entire crew, putting the CANOE at risk.

Key Point: With the right crew, everyone travels swiftly and safely, and can briefly carry extra load if a member withdraws peacefully.

Question 55: In the CANOE traits acronym, what does 'C' stand for?

Answer: Conscientiousness (Efficient/Organised vs Easy Going/Disorderly).

Key Point: Efficient traits suit sequential, repeatable roles, while easy-going traits suit environments that are constantly adapting.

Question 56: What does 'A' stand for in the CANOE traits acronym?

Answer: Agreeableness (Friendly/Consenting vs Critical/Outspoken).

Key Point: Friendly traits suit help desk or reception roles, while outspoken traits suit objective quality control or debt collection.

Question 57: Which CANOE trait assesses sensitivity versus confidence?

Answer: Neuroticism (Sensitive/Nervous vs Resilient/Confident).

Key Point: Sensitive/Nervous traits suit roles requiring skepticism (like forensic investigations), while Resilient traits suit high-rejection roles (like sales).

Question 58: How should you "Flush Out The Talent"?

Answer: Put the 'bait' (job advert) in an area where the fish (target candidates) are more likely to frequent.

Key Point: You must be creative and support traditional adverts with social media videos, supplier networks, and 'burley trails' (attractions).

Question 59: What are the 3 stages of grading applicants?

Answer: Feel, Know, Test.

Key Point: This progressive structure checks for 'gut feel', tests 'evidence' of their skills under pressure, and checks for variance in answer: s under relaxed conditions.

Question 60: What is the primary purpose of the New Team Member Orientation (buddy system)?

Answer: To

answer: questions in the mind of the new hire such as "Did I make the right choice?" and "Do I feel like I can CONTRIBUTE?"

Key Point: Any learning cycle requires a global and local perspective, providing an action point and a reflection point without fear of causing problems.

Alignment Statements

Question 61: What is the highest order need in Maslow's Hierarchy?

Answer: Self-Actualisation.

Key Point: It is about an individual knowing who they are and striving to reach their potential, whilst knowing perfection can never be attained.

Question 62: What does Clayton Alderfer's ERG acronym stand for?

Answer: Existence, Relatedness, Growth.

Key Point: Alderfer's model improves upon Maslow's by demonstrating that more than one need may motivate at the same time.

Question 63: What is the "frustration-regression principle"?

Answer: If a higher-order need is frustrated, an individual may regress to increase the satisfaction of a lower-order need which appears easier to satisfy.

Key Point: If employees are denied growth opportunities, they may regress to fulfilling relatedness needs by socializing with co-workers more.

Question 64: What are the 5 areas of content (Content Domains) that steal our mental attention?

Answer: 'Being', 'Knowing', 'Relating', 'Having' ('Getting or Keeping'), and 'Doing'.

Key Point: Our DRIVING content domain is the OUTCOME we want, while the ENABLING content domains are how we try to get it.

Question 65: Which business alignment statement corresponds to the 'Being' domain?

Answer: Vision.

Key Point: It speaks to stakeholders about where you see the business in the future and when.

Question 66: Which alignment statement corresponds to the 'Knowing' domain?

Answer: Purpose.

Key Point: It explains to customers and stakeholders why you do what you do beyond economic requirement.

Question 67: Which alignment statement corresponds to the 'Relating' domain?

Answer: Values.

Key Point: It guides decision-making about how you engage with people inside and outside your business.

Question 68: Which alignment statement corresponds to the 'Doing' domain?

Answer: Strategy.

Key Point: It speaks to Board Members/Owners regarding the over-arching philosophy about HOW you intend to achieve the Vision.

Question 69: What is the actual meaning behind saying "Good is Never Enough" to the team?

Answer: "It's OK to make mistakes so long as we're constantly striving to improve. Good enough was fine to get us started; but it won't sustain us in our future."

Key Point: Alignment requires translating common sayings into direct behavioral expectations.

Question 70: What is the meaning behind the community alignment statement "Together We Stand"?

Answer: "We have no role, except in the service of others but we can't do it on our own; we're part of a greater team."

Key Point: A business only wins if everyone wins alongside them, including suppliers and customers.

Phone Techniques

Question 71: What IS a business culture?

Answer: It's a collection of 'permissions' (spoken and unspoken) about how a group behaves together.

Key Point: Defining a culture establishes the actions a team wishes to be judged by in the marketplace.

Question 72: What does a business culture DO?

Answer: A Culture is a Social Contract that makes you feel Safe; where you WANT to belong.

Key Point: A culture reflects leadership actions that are consistent with a stated objective.

Question 73: What is the first point to consider when building your phone track?

Answer: 'Smile before you dial' (Smile with teeth) before you answer: the phone.

Key Point: Basic physiological actions drastically improve tone and phone presence.

Question 74: Within how many rings should a phone be

answer: ed according to the guidelines?

Answer: 3 OR 4 rings.

Key Point: Try not to

answer: too quickly, as it sounds like you've got nothing else to do.

Question 75: What is an example of an agreed standard phone greeting?

Answer: "Welcome to ABC - You're speaking with Bob!"

Key Point: Using a specific greeting ensures a standardized professional approach across the entire team.

Question 76: When dealing with hotheads, what does the 'H' in the H.E.A.T acronym mean?

Answer: Hear what they have to say.

Key Point: Don't interrupt or cut them short – you must listen to them vent.

Question 77: What does the 'E' in the H.E.A.T acronym stand for?

Answer: Empathise with them.

Key Point: Try to walk in their shoes and maintain a balanced view, avoiding being overly defensive.

Question 78: What does the 'A' in the H.E.A.T acronym stand for?

Answer: Apologise.

Key Point: You must apologize, even if only for the way they feel.

Question 79: What does taking responsibility (T) in the H.E.A.T acronym entail?

Answer: Give specific actions and timeframes for what you will do next.

Key Point: You must be accountable, even if it is only to pass a message or phone back with an answer: .

Question 80: What is the role of the 'ENFORCER'?

Answer: Someone who is responsible for reminding the team about the phone track and response times.

Key Point: Because old habits die hard, assigning a specific person ensures the new standards are actively maintained.

Ratio Analysis

Question 81: What are the 5 components in business management (the Advisory staircase)?

Answer: 1. Compilation/Verification, 2. Assimilation, 3. Interpretation, 4. Application, 5. Observation.

Key Point: It is critical that Assimilation is aligned with Interpretation requirements to "Compare Apples with Apples".

Question 82: What is a rookie mistake when purchasing external benchmark data?

Answer: Purchasing data without FIRST Capturing and Quantifying the INTERNAL business assumptions.

Key Point: Without standardizing internal data, the financial performance data is non-standardised and comparisons are flawed.

Question 83: What is the purpose of developing a robust predictive (revenue) model?

Answer: To ensure the key business variables and their interdependence have been identified.

Key Point: It

answer: s the question, "what happens if I pull this lever?" before adjusting operating procedures.

Question 84: Under what condition is benchmark data less relevant for comparison?

Answer: If the ratios have not been calculated in an identical manner.

Key Point: Using different methods (like credit sales vs total sales for debtor's days) in different periods invalidates the comparison.

Question 85: How can one-off situations distort ratios?

Answer: A large one-off order invoiced but not paid for can artificially inflate the debtor's days on hand figure.

Key Point: These anomalies must be removed from the calculation to accurately compare management actions.

Question 86: Why is comparing data from different periods problematic for highly seasonal businesses?

Answer: Ratios from peak season will fundamentally differ from low season results due to the business cycle, not management action.

Key Point: You must either adjust for seasonality or only compare quarters at the exact same stage of your cycle.

Question 87: What is a key question to ask when interrogating external benchmark data?

Answer: Are the figures provided from businesses of similar size?

Key Point: Data must be robust, representative of your industry, and calculated using transparent methods.

Question 88: What is the risk of using common size year-on-year data without adjusting for starting positions?

Answer: You may suffer from confirmation bias and confuse other management decisions as causal to your success.

Key Point: You must adjust data to measure BOTH your 'Start' position AND your 'Finish' position to see true performance.

Question 89: How do you calculate a Common Size Balance Sheet?

Answer: Divide each item in the balance sheet by Total Assets.

Key Point: This standardizes the data to allow direct comparison of asset proportions across previous years.

Question 90: How do you calculate a Common Size Profit & Loss Account?

Answer: Divide each item in the P&L account by Total Sales.

Key Point: This allows the business to assess expense and profit margins accurately year over year regardless of total volume changes.

Remuneration & Incentives

Question 91: What type of incentive program is recommended to stop sales teams from giving unnecessary discounts?

Answer: A 'Profit-Share' programme based on margin.

Key Point: You share margin rather than net profit because sales teams can influence the sale price but have no control over fixed costs.

Question 92: What type of bonus is suitable for a construction gang?

Answer: A 'Deadline & Retention Bonus'.

Key Point: This rewards completion before a deadline, subject to quality criteria until the owner's retention is deemed satisfactory.

Question 93: When does an 'output' bonus serve as less of an incentive?

Answer: When the task has greater complexity and variety.

Key Point: For complex roles, it's better to pay the correct salary, provide a learning path, and allow autonomy over daily tasks.

Question 94: What is the main rule for setting any incentive scheme?

Answer: The system must be clearly documented and open to challenge by both parties.

Key Point: Refusing to discuss bonus issues forces them underground and ruins the purpose of setting an incentive scheme.

Question 95: What is the risk of giving ad-hoc year-end Christmas bonuses?

Answer: You are in danger of creating an expectation for the next year that you may not be able to deliver on.

Key Point: Fair pay with a documented incentive program that encourages correct, measurable behavior is vastly superior.

Question 96: Should an employee be paid extra for 'on the job' training?

Answer: Generally no, unless it is a requirement of the role and can be passed on in value to the customer.

Key Point: Paying extra for training means the business effectively pays twice for the new skill.

Question 97: When is offering Shares / Equity appropriate as remuneration?

Answer: When it is critical to success at a strategic level.

Key Point: Equity demands greater levels of reporting transparency and means shareholders must share your risk appetite.

Question 98: What does "Time in Lieu" serve to replace?

Answer: Overtime worked.

Key Point: It acts as extra paid annual leave as part of the next year's package.

Question 99: What is a "Pro" for the Business Owner when offering shares to staff?

Answer: You can enjoy a sense of 'shared journey' and secure additional working capital.

Key Point: Staff and customers become more observant of hierarchical structure and considered in their dealings when ownership is shared.

Question 100: What is a "Con" for the Business Owner when offering shares to staff?

Answer: Depending on shareholding levels, you may require their consent to borrow money or purchase important assets.

Key Point: Furthermore, if the business tips over, dividends or 'excessive salaries' could be clawed back by creditors.

Succession Metaphor

Question 101: What metaphor is used to describe the business succession process?

Answer: Building Your 'Dream Home'.

Key Point: Visual metaphors align people to moving upward and reduce argumentative friction.

Question 102: What is Step 1 in the Succession Process Graphic?

Answer: Parents/Owners Wish List.

Key Point: This phase gathers stakeholder 'wishes' around what gets passed to who and who does what in return.

Question 103: What is the distinction between 'ownership' and 'stewardship' during the Wish List phase?

Answer: 'Ownership' implies complete legal control, while 'stewardship' is the authority to decide in the best interests of the asset for future generations.

Key Point: Clearly defining these terms dictates how assets are preserved or improved.

Question 104: What is Step 2 in the Succession Process Graphic?

Answer: Kids/Purchaser's Wish List.

Key Point: This allows the receiving party to articulate what they want their 'bedrooms' to look like before major engineering takes place.

Question 105: What occurs during Step 3, Concept Drawings?

Answer: Initial thoughts around Valuation, Funding and Feasibility to see if the business case 'stacks up'.

Key Point: The advisor reports back initial calculations and identifies major hurdles to the stakeholders.

Question 106: What is Step 4 in the Succession Process Graphic?

Answer: Design Drawings.

Key Point: This requires a more exhaustive review of the business case, inclusive of legal, tax, and estate issues.

Question 107: What happens in Step 5, the Final Design Meeting?

Answer: Conducting a stakeholder project 'sign-off' meeting.

Key Point: Based on expected costings, stakeholders make final decisions on what they 'must have' and what to 'rule out'.

Question 108: What is Step 6 in the Succession Process Graphic?

Answer: Construction Begins.

Key Point: This means overseeing the controlled implementation of the project while maintaining the quality and timeline schedule.

Question 109: What is the purpose of seeking stakeholder feedback in Step 3?

Answer: To define priorities and 'deal breaker' points.

Key Point: The project plans are subsequently modified based on this feedback before moving to full design.

Question 110: Why use an Ascension diagram for the graphical process?

Answer: It helps create the impression that stakeholders are improving as they proceed through the process.

Key Point: Visual frameworks naturally align people to 'moving upward' toward a solution.

Succession Planning

Question 111: What does Dan Sperber's 'Argumentative Theory' postulate?

Answer: That we are 'wired' to establish an argument that best serves our needs as an instinctual security-based reaction.

Key Point: During stress or conflict in succession, people become polarized to the detriment of the greater good.

Question 112: Why is an effective framework vital in Succession Planning?

Answer: It provides the basis for collaboration and gains agreement on how the problem will be broken down and solved.

Key Point: Launching straight into finding a solution evokes argumentative feelings; a framework mitigates this.

Question 113: What type of information appeals to the left side of the brain?

Answer: Order, structure, facts, and language.

Key Point: Engaging both hemispheres ensures complete contextual understanding.

Question 114: What type of information appeals to the right side of the brain?

Answer: Images, patterns (conceptual hierarchies), and metaphors.

Key Point: Using visual metaphors like building a dream home or climbing Mt. Everest makes the framework 'stick better'.

Question 115: What is the Facilitator's primary role in Succession Planning?

Answer: To 'let go' of the outcome they think should be achieved and guide the process.

Key Point: The facilitator chairs the discussion and ensures the right voices are heard in balance with their position and needs.

Question 116: What is a common primary business concern regarding succession transfer costs?

Answer: Whether the succession plan still supports a 'sound business case' or if transfer costs are too debilitating for incoming parties.

Key Point: High debt burdens can destroy the viability of the inherited business.

Question 117: What must be determined if an immediate successor withdraws due to trauma or life path changes?

Answer: An alternative plan must be determined.

Key Point: This ensures the original succession plan 'wishes' can still be met despite unexpected trigger events.

Question 118: What should be scrutinized regarding the successor's historical wages?

Answer: Whether the wages or salary paid to the incoming successor have been at a 'fair market rate'.

Key Point: If they were underpaid historically, a discount must often be applied to the final purchase price to compensate for 'sweat equity'.

Question 119: What should the succession timeline allow for?

Answer: The necessary transfer of skills.

Key Point: The implementation timeline must incorporate enough time for outgoing parties to effectively train incoming parties.

Question 120: Why must reasons and methodology be agreed upon if siblings receive disparate figures?

Answer: To maintain transparency and prevent unresolved feelings of entitlement or fear.

Key Point: All parties must formally agree to the logic to sustain long-term family harmony.

Systems B4 Scale

Question 121: What is the core quote associated with "Systems Before Scale"?

Answer: "Get it right before you go big!"

Key Point: Expanding a business BEFORE reviewing systems is like trying to fix the cracks in the garden hose while putting out a house fire.

Question 122: How is a "Process" defined in the presentation?

Answer: A sequence of actions to produce a component – in a consistent manner.

Key Point: An example is building the Engine or Gearbox for a new car.

Question 123: How is a "System" defined?

Answer: A collection of interdependent processes – acting as a whole.

Key Point: An example is assembling all the individual components to produce a new car that's ready to drive.

Question 124: What is the basic idea of "Systems Thinking"?

Answer: Every action triggers a reaction (feedback).

Key Point: Any system can be drawn as a diagram of causality, including actions, feedbacks, and delays.

Question 125: What are the two types of feedback in system dynamics?

Answer: Reinforcing feedback (linear or static loop) and Counteracting/balancing feedback (decision tree or dynamic loop).

Key Point: Sometimes a feedback reaction does not occur immediately, meaning the process contains built-in delays.

Question 126: What are the two most important aspects of any SYSTEM?

Answer: DESIGN (Architecture) and FEEDBACK LOOP.

Key Point: Design relates to the correct order and placement of resources, while the feedback loop is critical to identifying and removing errors.

Question 127: What is a "Redundant System"?

Answer: A system where whole sections can 'shut down' or be replaced by another system in the event of major error.

Key Point: The most advanced systems include redundancies to prevent catastrophic failure.

Question 128: What are the two key elements in flowcharting a system?

Answer: Nodes and Links.

Key Point: Nodes are the action steps or objectives, and Links are connecting lines that show order, sequence, or decision trees.

Question 129: How many Nodes should a flowchart illustration generally contain?

Answer: Between 5 to 13 Nodes.

Key Point: Too few suggests a lack of detail, and too many will create information overload.

Question 130: What should you do once your flowchart 'brainstorm' is completed?

Answer: Write the dominant Nodes onto 'sticky notes' so you can pick them up and shift them.

Key Point: This allows the creative process to kick in to check whether the 'logical order' is actually the smartest order.

Coping with Adversity

Question 21: What does a person's Harmonic style indicate?

Answer: It indicates the dominant habits we use when we don't get what we want, specifically when dealing with loss, conflict, or frustration.

Key Point: If we catch ourselves early in our attempts to cope, we can avoid serious relationship, self-esteem, and poor judgment issues.

Question 22: Which Enneagram Type is known as the "Rational, Idealistic type"?

Answer: Type 1: The Reformer.

Key Point: They are principled, purposeful, self-controlled, and perfectionistic.

Question 23: Which Enneagram Type struggles with possessiveness and acknowledging their own needs?

Answer: Type 2: The Helper.

Key Point: They are caring, empathetic, and driven to be close to others in order to be needed.

Question 24: Which Enneagram Type is adaptable, success-oriented, and highly driven for advancement?

Answer: Type 3: The Achiever.

Key Point: At their best, they are self-accepting, authentic role models, though they can suffer from workaholism.

Question 25: Which Enneagram Type is the "Intense, Cerebral Type" that can become preoccupied with imaginary constructs?

Answer: Type 5: The Investigator,.

Key Point: They are perceptive and innovative, but typically have problems with eccentricity, nihilism, and isolation.

Question 26: Which Enneagram Type is known as the "committed, security-oriented type" and serves as excellent "troubleshooters"?

Answer: Type 6: The Loyalist.

Key Point: They can foresee problems and foster cooperation, but often battle self-doubt and suspicion.

Question 27: Which Enneagram types utilize the "Intensity" coping style?

Answer: Types 4, 6, and 8.

Key Point: This style looks like watching the news for updates and having recurring, issue-focused (not solution-focused) thoughts.

Question 28: Which Enneagram types utilize the "Competency" coping style?

Answer: Types 1, 3, and 5.

Key Point: This style involves building an action plan without 'room for change' and looking down on others.

Question 29: Which Enneagram types utilize the "Positive Outlook" coping style?

Answer: Types 2, 7, and 9.

Key Point: This style involves having no timelines for action and applying a "Phew that was close! – without checking for damage" mentality.

Question 30: What is a recommended "Tip n Trick" for people with the Intensity coping style?

Answer: Put a time limit on 'letting it sink in'.

Key Point: Managing the time spent dwelling on negative news helps prevent recurring, non-solution-focused thoughts.

Weighted Stock Review

Question 71: What is Step 1 of the Weighted Stock Review Process?

Answer: Review Past Sales Reports/ Collate Into Matrix.

Key Point: You must review past sales to determine which units have made great margin, sold in high volumes, sold quickly, and carry unit cost risk.

Question 72: What action is required in Step 2 (Stock Check)?

Answer: Compare the 'weighted average' results against your current stock holdings.

Key Point: You must assess your average daily units sold against the time taken to arrive from the supplier to properly set re-order minimums.

Question 73: What financial metric should you determine during Step 3 (Financial Check)?

Answer: Your Quick Ratio (Liquidity).

Key Point: You must assess your total financial exposure to stock against the operational needs of the business before spending money.

Question 74: In the Product Ratings, how many points are awarded for a Margin Achieved that is "Awesome!" (Greater Than 101%)?

Answer: 5 Points.

Key Point: The matrix heavily weights items that generate the highest percentage of gross sales profit.

Question 75: Under "Days on Hand", what defines a "Dead Wood" product?

Answer: A product that takes Greater Than 75 Days to sell.

Key Point: Extremely slow-moving stock receives the lowest rating of 1 point.

Question 76: How many points are given to a product with a Unit Cost Risk categorized as "Waking Nites" (Greater Than \$176.00)?

Answer: 1 Point.

Key Point: High unit cost exposure increases risk, so the item is heavily penalized in the weighted average.

Question 77: How many points are given to a product with a "Minor" Unit Cost Risk (\$1.00 to \$25.00)?

Answer: 5 Points.

Key Point: Items with the lowest financial risk per unit receive the maximum weighted points.

Question 78: If a stock item is rated as "Hot Cakes!" under Days on Hand, what is its range of days to sell?

Answer: 1 to 13 Days.

Key Point: Products that move immediately are highly favored and score 5 points.

Question 79: Under "Sales by Volume", what rating applies to a product that only sells 1 to 5 units?

Answer: Rare.

Key Point: Very low popularity yields a minimal score of 1 point in the volume weighting.

Question 80: What is Step 4 of the Weighted Stock Review process?

Answer: Order Stock.

Key Point: Ordering stock is the final step, strictly executed only after reviewing sales matrices, checking current stock transit, and ensuring financial liquidity.

Coping with the types at their worst.

Question 1: What is the defining disruptive behavior of a Type One (Reformer) in a business setting?

Answer: They exhibit micro-managing, nit-picking, and often sound condescending with instructions or 'statements of fact'.

Key Point: Process and detail are critical for Type Ones, so you should focus discussions on logical steps and ask them to consider alternatives to ensure a 'robust' decision.

Question 2: What is an extreme 'power word' that is highly effective when coping with a Type Two (Helper)?

Answer: "Need," such as saying, "I need your help".

Key Point: Twos are driven to be close to others and can slip into doing things just to be needed; establishing clear roles and boundaries is critical to prevent resentment.

Question 3: Which Enneagram type is described as having an "Assertive Type" social style, a "Finder" selling style, and a Competency-based focus?

Answer: Type Three, the Achiever.

Key Point: Threes are action-oriented and highly driven by advancement, so it is important to encourage them to set targets that are "appropriate and Valid" to today's market.

Question 4: What should you encourage a Type Four (Individualist) to do regarding their workplace behavior?

Answer: Encourage them to "Stand outside themselves" and look at their behaviors to see if they allow others to be appreciated for who they are.

Key Point: Fours can be emotionally honest but also moody and disdainful of ordinary ways; appealing to their creative side for a 'tailored response for the masses' is an effective coping strategy.

Question 5: What two phrases need to be repeated often to a Type Five (Investigator) to improve their business relations?

Answer: "People do business with people they like" and "People don't care how much you know, until they know how much you care".

Key Point: Fives can appear aloof and completely negative to necessary change, so you must encourage them to connect with the emotional reasons behind issues rather than getting sucked into 'intellectual sparring'.

Question 6: What disruptive behaviors are typical of a Type Six (Loyalist) when they are under stress?

Answer: They become overly negative, engage in 'doom-saying,' forge 'conspiracy alliances,' and display ineffective decision making.

Key Point: Sixes are excellent troubleshooters but struggle with self-doubt; remind them of their competencies and that they are at their best when they back themselves.

Question 7: How should you manage a Type Seven (Enthusiast) when they throw a workplace tantrum?

Answer: Be firm, state that the behavior is unacceptable, leave the room for 5 minutes so both can cool down, and then sort it out upon returning.

Key Point: Sevens are versatile but can become scattered and undisciplined; coaching them on the 'count to ten before you act' principle helps manage their impulsiveness.

Question 8: What specific phrase should you avoid using when confronting a Type Eight (Challenger)?

Answer: Try to avoid telling them to "calm down".

Key Point: Eights are powerful and enjoy energy, feeling justified in expressing it; you should match their energy but stay focused entirely on the issue and not the individual.

Question 9: How can you effectively address the lethargy or lack of motivation in a Type Nine (Peacemaker)?

Answer: Tell them you need their help or show them how making an improvement for themselves helps others as well.

Key Point: Nines tend to be complacent and want everything to be without conflict, so you must patiently 'flush-out' their issues without judgment to facilitate problem-solving.

Question 10: According to Riso-Hudson, what do the "Harmonic Groups" tell us about a personality type?

Answer: They indicate how each person copes with conflict and difficulty when they do not get what they want.

Key Point: This reveals the fundamental way that an individual's personality defends against loss and disappointment.

Due Diligence support

Question 11: What are the three distinct pillars used to systematically stress-test a target entity during due diligence?

Answer: Financial, Legal, and Operational/Cultural.

Key Point: Systematically testing these pillars helps buyers unearth "red flags" or "price chips," ensuring legal and financial protection before signing an agreement.

Question 12: What specifically does the "Asset Review 1" template highlight for a business owner?

Answer: "Capital Release Potential".

Key Point: It identifies underutilized physical assets that can be sold off (Released) rather than kept, allowing advisors to spot bloated balance sheets for immediate cash generation.

Question 13: What is considered the biggest hidden risk within a target company's client base?

Answer: Customer concentration, specifically if a single client accounts for more than 20% of the company's revenue.

Key Point: If a company relies too heavily on one client, the risk to the buyer is exceptionally high should that client decide to leave post-acquisition.

Question 14: What risk do "Change of Control" clauses pose during a business acquisition?

Answer: They can cause agreements with vital suppliers or key customers to automatically terminate the moment the business changes hands.

Key Point: This immediately devalues the company, making it crucial to review material contracts strictly during the legal deep dive.

Question 15: What does the "FORD" in the FORD Model acronym stand for?

Answer: Family, Occupation, Recreation, and Dreams.

Key Point: The FORD Model acts as a "soft" due diligence tool to assess staff morale, alignment, and "Key Person" flight risks during transitions.

Question 16: In the FORD Model, what potential risk does an employee's lack of "Recreation" highlight?

Answer: It indicates the person may be at a high risk for "burnout".

Key Point: Understanding how someone recharges helps assess their energy levels, and hobbies can alternatively reveal untapped leadership potential.

Question 17: Why is a "Bottom-Up" approach recommended for Quality of Earnings (QoE) analysis?

Answer: To independently build up to normalized EBITDA starting from the general ledger (GL) level data.

Key Point: This is vastly superior to working backward from the seller's adjustments because it verifies the quality of underlying information and provides granularity for post-acquisition KPIs.

Question 18: Why must an advisor be highly skeptical of "management adjustments" or "add-backs" proposed by a seller?

Answer: Because management often proposes removing "one-time" expenses simply to artificially inflate their EBITDA.

Key Point: Every proposed adjustment must be backed by concrete evidence (like invoices), as many vague consulting or structural costs are actually recurring operational expenses.

Question 19: When does best practice dictate that integration planning for "Day 1" should begin?

Answer: During the due diligence phase, not after the deal closes.

Key Point: Including business unit heads early ensures that synergy estimates are grounded in operational reality rather than purely theoretical benchmarks.

Question 20: What is the purpose of using "Clean Rooms" prior to closing a transaction?

Answer: To manage the sharing of sensitive information and prevent the illegal sharing of competitive data.

Key Point: Working with legal counsel to use Clean Rooms prevents "gun-jumping" (asserting undue influence on the target) before regulatory approvals are finalized.

Indicative Value Questions

Question 21: What differentiates a BIMBO (Buy-In Management Buyout) from a standard MBO (Management Buyout)?

Answer: In a BIMBO, an external incoming manager partners with the existing internal team.

Key Point: This structure rebalances the insider-knowledge asymmetry, combining the incoming manager's equity with the internal team's continuity and relationships.

Question 22: What are the primary reasons for forming a "Newco" (new company) to acquire a business?

Answer: Asset protection, a clean balance sheet, tax structuring, and investor syndicates.

Key Point: Advisors must pay special attention to shareholder identities, funding structures, and change-of-control clauses in leases or contracts when a Newco is utilized.

Question 23: If an Indicative Value is commissioned for a complete sale, what crucial question must be asked regarding "Key People"?

Answer: "Are the key people listed above planning to remain with the business after sale?".

Key Point: Identifying key person dependencies and their post-sale intentions is vital to understanding the true transferrable value of the operation.

Question 24: What specific disclosure must be made regarding perishable stocks on the balance sheet?

Answer: Which of the stocks are nearing their best by/use by dates as a percentage of the total stock estimate.

Key Point: The business owner has a distinct duty to disclose this to ensure the current stock valuations are completely accurate.

Question 25: What must be verified regarding current Work in Progress (W.I.P)?

Answer: Whether 'variations to scope' have been communicated and accepted in writing.

Key Point: This guarantees that expected W.I.P values and associated revenues are mutually agreed upon and legally enforceable.

Question 26: Under what circumstances might the book value of a tangible asset fail to represent its true value?

Answer: If vehicles or equipment have damage or faults resulting in a market value lower than the book value, or if assets are now 'non-operational' through disrepair or industry disruption.

Key Point: Adjustments must be made for specific industry or economic factors known to owners that could significantly increase or reduce asset values.

Question 27: If a business receives direct payments from a social media following, what must be investigated?

Answer: The platform's guidelines regarding the on-selling of the social media account.

Key Point: Restrictions on transferring intangible assets or digital accounts can heavily impact whether that revenue stream transfers to a new owner.

Question 28: When gathering comparative data, what should an advisor make note of if there are publicly listed companies in the same industry?

Answer: To find out the details of their share prices and trading volumes.

Key Point: Analyzing comparable market transactions and public trading data provides external benchmarks to support value calculations.

Question 29: What must be established regarding the last 3 years of Repairs / Maintenance expenditure?

Answer: Whether the expenditures accurately reflect the needs of the business and if the tax deductions claimed were considered 'Industry norm' or conservative.

Key Point: Analyzing these costs helps determine if the business has been adequately maintained or if expenditures have been artificially minimized to boost apparent profits.

Question 30: What supplementary question helps clarify how the business has historically distributed its profits?

Answer: "Does the business have a history of making dividend distributions? If so, does a formal dividend policy exist?".

Key Point: Understanding the dividend policy explains the historical management of free cash flow and shareholder returns.